

23STCV03405 23STCV03405

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Case Number: 23STCV03405 Hearing Date: August 25, 2026 Dept: 512

HEARING DATE: Tues., August 25, 2026 JUDGE /DEPT: Mkrtchyan/512

CASE NAME: Dr.

Nayyer Ali, MD, et al. v. Dignity Health,

et al.

CASE NUMBER: 23STCV03405 TAC FILED: 08-19-25

NOTICE: OK

PROCEEDINGS: MOTION

FOR NEW TRIAL; MOTION TO VACATE JUDGMENT

MOVING PARTIES: Defendants

Dignity Health dba St. Mary Medical Center and Carolyn Caldwell

RESP. PARTIES: Plaintiffs Dr. Nayyer Ali, M.D. and Dr.

Mauricio Heilbron, M.D.

MOTION FOR

NEW TRIAL; MOTION TO VACATE JUDGMENT

(CCP §§ 657, 663)

TENTATIVE RULING:

Defendants Dignity Health dba St. Mary

Medical Center and Carolyn Caldwell's Motion for New Trial is DENIED.

Defendants Dignity Health dba St. Mary

Medical Center and Carolyn Caldwell's Motion to Vacate Judgment is DENIED.

Moving parties are ordered to give

notice.

NEW TRIAL MOTION SERVICE:

☒ Proof of

Service Timely Filed (CRC, rule 3.1300) OK

☒ Correct Address

(CCP §§ 1013, 1013a) OK

☒ 16/21 Court

Days Lapsed (CCP §§ 12c, 1005(b)) OK

OPPOSITION: Filed

on August 10, 2026 ☐

Late ☐ None

REPLY: Filed

on August 17, 2026 ☐

Late ☐ None

VACATE JUDGMENT MOTION SERVICE:

☒ Proof of

Service Timely Filed (CRC, rule 3.1300) OK

☒ Correct Address

(CCP §§ 1013, 1013a) OK

☒ 16/21 Court

Days Lapsed (CCP §§ 12c, 1005(b)) OK

OPPOSITION: Filed

on August 10, 2026 ☐

Late ☐ None

REPLY: Filed

on August 17, 2026 ☐

Late ☐ None

ANALYSIS:

I.

Background

On August 19, 2025, Plaintiffs Dr. Nayyer Ali, M.D. ("Ali") and Dr. Mauricio

Heilbron, M.D. ("Heilbron") ("Plaintiffs") filed a Third Amended Complaint

against Defendants Dignity Health dba St. Mary Medical Center ("St. Mary"),

Carolyn Caldwell, Charles Anderson, and Christopher Pook ("Defendants") and

Does 1-10, alleging causes of action for Violation of Whistleblower Protections
and Unfair Business Practices.

On January 23, 2026, the Honorable

Judge Maurice A. Leiter issued a proposed Statement of Decision.

On February 13, 2026, the Court held a

Non-Appearance Case Review Re: Receipt of Objections to Proposed Statement of

Decision and stated it was in receipt of the filed objections and took the
hearing off calendar. (2/13/26 Order.)

On February 18, 2026, Judge Leiter

issued a Final Statement of Decision.

On July 15, 2026, Judgment was entered

in favor of Plaintiffs and against St. Mary and Caldwell; in favor of Pook and

against Plaintiffs; and in favor of Anderson and against Plaintiffs. In

pertinent part: the Court awarded Ali against St. Mary and Caldwell, jointly

and severally, \$700,000 in reputational damages plus post-judgment interest.

The Court also awarded Ali a new Adjunct Contract Faculty Agreement for

teaching residents on the floor. The Court awarded Heilbron against St. Mary

and Caldwell, jointly and severally, \$700,000 in reputational damages; \$850,000

in emotional distress damages; and post-judgment interest on the total damages

awarded to Heilbron.

On July 21, 2026, Moving Defendants St.

Mary and Carolyn Caldwell ("Moving Defendants") filed a Notice of Intention to

Move for New Trial and a Notice of Intention to Move to Vacate Judgment.

On July 23, 2026, Abstracts of

Judgment were issued.

On July 31, 2026, Moving Defendants

filed memorandums, supporting documents, and a request for judicial notice in

support of the Motion for New Trial ("New Trial Motion") and the Motion to

Vacate Judgment ("Motion to Vacate").

On August 4, 2026, the Court set a

hearing for the New Trial Motion. On August 5, 2026, the served Notice of

Hearing on the New Trial Motion.

On August 6, 2026, the Court set a hearing on the

Motion to Vacate and served Notice of Hearing on the Motion to Vacate.

On August 10, 2026, Plaintiffs filed

Oppositions to the Motions.

On August 17, 2026, Moving Defendants

filed Replies to the Motions.

II.

Procedural

Issues

As an initial matter, the Court notes

that the Rutenberg declaration accompanying the New Trial Motion represents

that part of the New Trial Motion's supporting evidence is a thumbdrive which

Moving "Defendants will lodge with the Court under separate cover." (New Trial

Motion, Rutenberg Decl., ¶ 21.) However, the Court has not received a notice of lodging with the

thumbdrive.

Further, the Court finds the trial

transcript excerpts filed in support of the Motions are poorly labeled in the

Rutenberg declaration and/or unclearly excerpted in the transcript exhibit

itself, such that the Court is unable to ascertain who is speaking in certain

of the exhibits. (See e.g., Motions, Rutenberg Decl., Exh. 4.) Also, Moving

Defendants often fail to provide accurate page numbers in their memorandum to the

pertinent portions of the trial transcript excerpts.

III.

Request

for Judicial Notice

In conjunction with the Motions, Moving

Defendants request the Court take judicial notice of Assembly Bill No. 632

(2007-2008 Reg. Sess.) as

introduced Feb. 21, 2007; various amendments to Assembly Bill No. 632; and a comment

on Assembly Bill No. 632. (Motions, RJN, pp. 1-2, Exhs. 1-5.) The Court GRANTS

the request pursuant to Evidence Code section 452, subdivisions (b) and (c).

IV.

New

Trial Motion

A.

Parties'

Arguments

Moving Defendants request a new trial under

Code of Civil Procedure section 657 subdivisions (5), (6), and (7) on the

following grounds: legal damages were impermissibly awarded in a bench trial;

damages under Code of Civil Procedure section 1278.5 are allowed to be awarded

only ancillary to equitable relief, which was not and could not be awarded

here; reputational damages are not allowed to be awarded against Ali for

wrongful nonrenewal of a contract absent specific statutory authority not found

in Code of Civil Procedure section 1278.5; Code of Civil Procedure section

1278.5 does not permit reinstatement of an expired separate contract, and there

was no diminution or impairment of Ali's privileges; reinstating Ali's contract

violates Civil Code section 3390; and the judgment is not supported by sufficient evidence and the damages are excessive because the record contains no evidence that Plaintiffs experienced any reputational or emotional distress damages from the acts the Court found retaliatory and damages as to certain acts are barred by law. (New Trial Motion, MPA, pp. 1-15.)

In Opposition, Plaintiffs contend

there are no grounds for a new trial based on the remedies awarded under Code of Civil Procedure section 1278.5 for the following reasons: (1) Moving Defendants improperly seek reconsideration of the Court's prior ruling granting Plaintiff's leave to amend to add emotional distress remedies and reinstatement request; (2) Moving Defendants waived the affirmative defense that Plaintiffs are prohibited from recovering emotional distress and reputational damages for violations under Code of Civil Procedure section 1278.5 by failing to object to the pleading; and (3) Moving Defendants have neither challenged the legal sufficiency of the amount awarded by the Court nor challenged the Court of being prejudiced or corrupt. (Opp., pp. 7-12.) Further, Plaintiffs contend the record contains sufficient evidence supporting the award for Heilbron's emotional distress damages, including expert testimony, Heilbron's testimony, and Heilbron's wife's testimony. (Opp., pp. 13-15.) Also, Plaintiffs contend the record contains sufficient evidence to support the award for Heilbron's reputational

damages, including the nonrenewal of the adjunct faculty agreement and reappointments. (Opp., pp. 15-17.) Plaintiffs assert that Moving Defendants waived any statute of limitations defense as to Heilbron's claims by failing to assert it in their Answer or object. (Opp., p. 17-18.) Finally, Plaintiffs contend that none of the retaliatory acts against Ali are time-barred. (Opp., p. 19.)

In Reply, Moving Defendants emphasize arguments raised in the New Trial Motion. (Reply, pp. 3-10.) The Reply also addresses the Oppositions contentions – Moving Defendants assert that the Motion is not a reconsideration request and, moreover, the Court granting leave to amend to add damages is not dispositive proof that Code of Civil Procedure section 1278.5 permits such remedies. (Reply, p. 1.) Further, Moving Defendants contend they did not waive any assertions in the Motion and the arguments raised in the Motion are properly included. (Reply, p. 2.)

B.

Legal

Standard

Pursuant to Code of Civil

Procedure section 657, a motion for a new trial may be granted if there is

any:??

¿

5. Excessive or inadequate

damages.

6. Insufficiency of the evidence

to justify the verdict or other decision, or the verdict or other decision is

against law.

7. Error in law, occurring at the

trial and excepted to by the party making the application.

¿

(Code

Civ. Proc., § 657, subds. (5)-(7).)

Further :

When a new trial is granted, on all or

part of the issues, the court shall specify the ground or grounds upon which it

is granted and the court's reason or reasons for granting the new trial upon

each ground stated.

A new trial shall not be granted upon

the ground of insufficiency of the evidence to justify the verdict or other

decision, nor upon the ground of excessive or inadequate damages, unless after

weighing the evidence the court is convinced from the entire record, including

reasonable inferences therefrom, that the court or jury clearly should have reached a different verdict or decision.

(Code Civ. Proc., § 657.)

A motion

for new trial “shall be heard and determined by the judge who presided at the trial; provided however, that in case of the inability of such judge or if at the time noticed for hearing thereon he is absent from the county where the trial was had, the same shall be heard and determined by any other judge of the same court.” (Code Civ. Proc., § 661.)

In the context of a nonjury trial, a trial court “may, on such terms as may be just, change or add to the statement of decision, modify the judgment, in whole or in part, vacate the judgment, in whole or in part, and grant a new trial on all or part of the issues, or, in lieu of granting a new trial, may vacate and set aside the statement of decision and judgment and reopen the case for further proceedings and the introduction of additional evidence with the same effect as if the case had been reopened after the submission thereof and before a decision had been filed or judgment rendered. Any judgment thereafter entered shall be subject to the provisions of sections 657 and 659.” (Code Civ. Proc., § 662.)

This power is slightly curtailed when a new judge—i.e.,

a judge who did not preside over the nonjury trial—hears the new trial motion.

Specifically, “ [It] has been repeatedly held that the court

retains power to amend or change the conclusions of law so as to point to a

different judgment, and to enter a judgment different from the first announced,

and that this power continues until the entry of the judgment and such

change may be made by a judge other than the one who tried the cause.’ ”

(Kelly v. Sparling Water Co. (1959) 52 Cal.2d 628, 633,

emphasis in original.)

“The right to a new trial is purely

statutory, and a motion for a new trial can be granted only on one of the

grounds enumerated in the statute.” (Fomco, Inc. v. Joe Maggio, Inc.

(1961) 55 Cal.2d 162, 166.) Since new trial motions are “ ‘creatures of

statute,’ ” the “ ‘procedural steps for making and determining such

a motion are mandatory and must be strictly followed,” ’ ” or else the court

acts in excess of jurisdiction. (Maroney v. Jacobsohn (2015)

237 Cal.App.4th 473, 484-485.)

C.

Discussion

Moving Defendants seek a new trial

based on three of the statutory grounds outlined in Code of Civil Procedure

section 657. Having considered all moving, opposing, and reply papers, the evidence presented, and the record, the Court finds that Moving Defendants have failed to show excessive or inadequate damages, insufficiency of the evidence, or error in law at trial. (Code Civ. Proc., § 667, subds. (5)-(7).)

An uncommon aspect of the subject

motions is that they are decided not by the trial judge (J. Leiter, now retired) but by a successor judge (J. Mkrtchyan.) The law requires a new trial motion to be heard by the judge who presided over the trial. But upon the unavailability of the trial judge, the newly assigned judge undertakes the task, as in this instance. (See Code Civ. Proc., § 661.)

First, the Court does not find that Plaintiffs

were barred from seeking emotional distress and reputational damages in this matter under Health and Safety Code section 1278.5. While Moving Defendants rely on *Shaw v. Superior Court* (2017) 2 Cal.5th 983 to assert that tort damages are unavailable under Health and Safety Code section 1278.5 absent viable companion tort claims (see New Trial Motion, pp. 3-4), Moving Defendants fail to state what “companion tort claims” Plaintiffs could have moved for that would foreclose tort damages in this matter. Moving Defendants fail to offer any other legal authority to support their claims other than *Shaw*. As such, the Court finds this argument unpersuasive and unsupported as to the

circumstances of this action.

Furthermore, the Court finds Shaw supports

Judge Leiter's use of discretion in this matter to fashion an appropriate remedy,

including emotional distress and reputational harm damages, under the "catchall

provision that was added to [Health and Safety Code] section 1278.5(g) in 2007."

(See Shaw, supra, 2 Cal.5th at pp. 1002-1003; Health & Saf.

Code, 1278.5, subd. (g) [" An employee who has been discriminated against

in employment pursuant to this section shall be entitled to reinstatement,

reimbursement for lost wages and work benefits caused by the acts of the

employer, and the legal costs associated with pursuing the case, or to any

remedy deemed warranted by the court pursuant to this chapter or any other

applicable provision of statutory or common law.... A member of the medical staff

who has been discriminated against pursuant to this section shall be entitled

to reinstatement, reimbursement for lost income resulting from any change in

the terms or conditions of the member's privileges caused by the acts of the

facility or the entity that owns or operates a health facility or any other

health facility that is owned or operated by that entity, and the legal costs

associated with pursuing the case, or to any remedy deemed warranted by the

court pursuant to this chapter or any other applicable provision of statutory

or common law"].)

Thus, the Court finds there was no

error in law as to this issue.

Next, Moving Defendants rely on Shaw

for the proposition that tort damages are only permissible in actions

involving an “appropriate mix of equitable and legal remedies.” (New Trial

Motion, p. 4, citing Shaw, supra, 2 Cal.5th at p. 1000.) However,

the Court’s reading of Shaw differs from Moving Defendants. Indeed, the

Court finds Shaw to hold that the trial court has discretion to authorize

remedies pursuant to Health and Safety Code section 1278.5(g); Health and

Safety Code section 1278.5(g) contains mostly equitable relief; and the trial

court’s discretion includes awarding a mix of legal and equitable remedies

should a particular case pose such circumstances. (See Shaw, supra,

2 Cal.5th at p. 1000.) The Court does not find that Shaw, contrary to

Moving Defendants’ assertion, stands for the proposition that, as a matter of

law, tort damages are only allowed in cases that involve mixed remedies.

Thus, the Court finds there was no

error in law as to this issue.

Third, Moving Defendants assert that

tort damages, such as damages for reputational harm, are unavailable for the

end of a contract that has a fixed term and expires. (New Trial Motion, p. 5.) In

the Final Statement of Decision, Judge Leiter addressed this exact issue as follows:

An employer's decision simply not to renew a contract does not give rise to an action for wrongful termination. But not renewing a contract as retaliation for lodging a complaint is actionable under Section 1278.5, which prohibits retaliation "in any manner." (Section 1278.5(b)(1); see also *Touchstone Tel. Prod. v. Superior Court* (2012) 208 Cal App. 4th 676, 678 [employee may allege cause of action under Labor Code section 6310].

(2/18/26 Final Statement of Decision,

p. 7.) The Court finds Judge Leiter's statement and application of the law apt.

In *Touchstone Tel. Prod.*, supra, 208 Cal.App.4th at p. 678, the

Second District Court of Appeal held that an employee is allowed to file a

complaint in discrimination or retaliation against the employee when the

employer, in retaliation, decides not to exercise its option to renew the

employee's fixed-term employment contract. (See *ibid.*) The Court finds that

Touchstone supports the award of reputational damages under Health and

Safety Code section 1278.5(g) here for Moving Defendants' retaliatory act, not

tortious act, of terminating Ali's fixed-term contract.

Thus, the Court finds there was no

error in law as to this issue.

Fourth, Moving Defendants contend

Health and Safety Code section 1278.5 does not permit reinstatement of an expired

contract, only a medical staff member's privileges. (New Trial Motion, pp. 5-7,

RJN, Exh. 1.) Not so. The express terms of Health and Safety Code section

1278.5 state that "reinstatement" is a permissible remedy for discrimination against

a member of the medical staff (Health & Saf. Code, 1278.5, subd. (g)), and

the parties do not dispute that Ali is a member of the medical staff. The Court

is unpersuaded by Moving Defendants' unsupported interpretation of Health and Safety

Code section 1278.5, subdivision (g)'s terms and their limitations and/or

Moving Defendants' interpretation of Health and Safety Code section 1278.5,

subdivision (g)'s legislative history. (See New Trial Motion, pp. 5-7, RJN,

Exh. 1.)

Furthermore, the Court notes that our

high court has held that " '[b]ecause the physician and medical staff are most

likely not employees of a hospital, the remedies available to them could be

entirely different, depending on the retaliatory action that was taken.' " (Shaw,

supra, 2 Cal.5th at p. 1001.)

Thus, the Court finds there was no

error in law as to this issue.

Fifth, Moving Defendants assert that

ordering reinstatement of Ali's contract violates Civil Code section 3390. (New

Trial Motion, pp. 7-8, citing *Barndt v. County of Los Angeles* (1989) 211

Cal. App. 3d 397, 403 ["It has long been established that a contract to perform

personal services cannot be specifically enforced, regardless of which party

seeks enforcement"].) However, the Court finds that the instant case differs in

kind from that of *Barndt*, and the Second District Court of Appeal

expressly held in *Barndt* that reinstatement of a position was

appropriate in a "case involving the discharge of an employee in violation of

antidiscrimination or other statutes which mandate reinstatement." (*Id.*,

at p. 406.) These circumstances are directly present here – Health and Safety

Code section 1278.5, subdivision (g), should it apply, mandates reinstatement

for a medical staff member such as Ali.

Thus, the Court finds there was no

error in law as to this issue.

Finally, Moving Defendants contend the

emotional distress and reputational damages awards are unsupported by the evidence

and are excessive. (New Trial Motion, pp. 8-14.) As to Heilbron, Moving

Defendants assert any emotional distress suffered by Heilbron was caused by

non-retaliatory acts of Moving Defendants, and there is no evidence supporting

reputational damages to Heilbron. (New Trial Motion, pp. 8-12.) As to Ali,

Moving Defendants state there is no evidence that the nonrenewal of the

Residency Agreement harmed Ali's reputation, and there is no evidence that

shows reappointments harmed Ali's reputation. (New Trial Motion, pp. 12-14.)

The Court finds any statute of

limitations defenses have been waived by Moving Defendants' failure to object

on these grounds. Upon review of the record, the Court finds there is

sufficient facts to support that Moving Defendants committed various

retaliatory acts against Plaintiffs, and Heilbron suffered emotional distress

and both Plaintiffs suffered reputational harm as a result. For instance, the

Court finds that the Heilbrons' testimony coupled with the testimony of Dr.

Nolan and Dr. Dupree support the award of emotional distress and reputational

harm damages as to Heilbron. (See Opp., Exhs. 14-16.) The Court finds that

Ali's testimony supports the award of reputational harm damages as to Ali. Most

importantly, the Court does not find that the evidence in this action clearly

shows Judge Leiter should have reached a different result in this action. (Code

Civ. Proc., § 657.)

Thus, the Court finds there was

sufficient evidence to support the damages awarded, the damages were not

excessive, and no error in law occurred as to this issue.

Based on the above, the New Trial Motion

is DENIED.

V.

Motion

to Vacate

“ [A] motion to vacate lies only where a

“different judgment” is compelled by the facts found. [Citation.] A motion to

vacate under section 663 may only be brought when “the trial judge draws an

incorrect legal conclusion or renders an erroneous judgment upon the facts

found by it to exist.” ’ ’ (Garibotti v. Hinkle (2015) 243

Cal.App.4th 470, 477.)

Code of Civil Procedure section 663

states:

A judgment or decree, when based

upon a decision by the court, or the special verdict of a jury, may, upon

motion of the party aggrieved, be set aside and vacated by the same court, and

another and different judgment entered, for either of the following causes,

materially affecting the substantial rights of the party and entitling the

party to a different judgment:

1.

Incorrect

or erroneous legal basis for the decision, not consistent with or not supported by the facts; and in such case when the judgment is set aside, the statement of decision shall be amended and corrected.

2. A judgment or decree not consistent with

or not supported by the special verdict.

(Code

Civ. Proc., §

663.)

“Courts have long interpreted section 663

to require that when a court grants a motion to set aside and vacate the

judgment, it must contemporaneously enter a new judgment.” (Stop C-19, LLC

v. Tooling Express, Inc. (2025) 111 Cal.App.5th 803, 811.) “An order

of vacation, without directing entry of a new judgment, is void.” (Ibid.)

Here, the Motion to Vacate brings

identical grounds and supporting evidence for vacating the judgment as those

addressed supra in the Court's discussion of the New Trial Motion.

Given that the Court determined there is

not an incorrect legal basis for all the above issues, which are identical to

the issues raised in the Motion to Vacate, the Court finds the Motion to Vacate

is likewise meritless.

For this and all the aforementioned

reasons, the Motion to Vacate is DENIED.

VI.

Conclusion

& Order

For the foregoing reasons, Defendants

Dignity Health dba St. Mary Medical Center and Carolyn Caldwell's Motion for

New Trial is DENIED.

Defendants Dignity Health dba St. Mary

Medical Center and Carolyn Caldwell's Motion to Vacate Judgment is DENIED.

Moving parties are ordered to give

notice.